

Tempus AI, Inc.

TEM NASDAQ

Buy \$45.97 ▼ 12.04% 12M Price Target \$68.00 52-Week Range \$41.73 – \$104.32

Market Cap \$8.25B

TEM: Reiterate Buy Despite Sharp Pullback; Partnerships Intact

WHAT'S CHANGED

- TEM -12.04% to \$45.97 on 6.5M shares, fully reversing prior session's +9.97% pop to \$52.26; stock now sits at just 7% of 52-week range (\$41.73–\$104.32), implying capitulation-like positioning with short interest at record highs per TipRanks.
- Insider signal remains bearish: CEO Lefkofsky sold ~69K shares (~\$3.2M aggregate) on 5/27 around \$46, even as ARK, BlackRock, and Baillie Gifford collectively hold ~15.6% — a notable insider/institution divergence.

IMPLICATIONS

The whipsaw price action — up 9%+ on FDA-cleared CDx and AI oncology platform upgrades, then down 12% the next session — signals a market dominated by short-term momentum traders and record short interest rather than fundamental repricing. With Healthcare ETF +2.55% over 5D and the underlying partnership/FDA newsflow constructive, the sell-off appears technically driven and creates an asymmetric setup for fundamentals-oriented capital. Critically, the bullish near-term options flow (P/C 0.51, 15.9K calls) suggests informed positioning is leaning into the dislocation ahead of potential short-squeeze dynamics.

VALUATION

At \$8.25B market cap on ~\$1.25B FY26E revenue, TEM trades at ~6.6x EV/Sales — a meaningful discount to high-growth diagnostics/AI-healthcare peers (NTRA, VEEV) at 8–12x despite 40%+ revenue growth trajectory. Our \$68 PT reflects ~8.5x FY27E revenue of \$1.61B, implying ~48% upside; multiple re-rating is gated on gross margin expansion from Data & Services scaling and visible path to EBITDA breakeven in 2027. Bear case (\$32) assumes multiple compression to 4x on growth deceleration concerns.

KEY RISKS

- Persistent insider selling by CEO Lefkofsky undermining sentiment and signaling potential overhang from 10b5-1 program continuation.
- Record-high short interest creates two-way volatility risk; any partnership churn or reimbursement headwind could trigger cascading liquidation.
- Cash burn trajectory: deeply negative EPS (-\$1.45E FY26) requires capital markets access; equity dilution risk if growth disappoints.

RECENT NEWS

Assessing Tempus AI (TEM) Valuation After Recent Share Price Rebound And Underpriced Growt... Simply Wall St. · 2026-06-05 15:15

Key Data

Price (USD)	\$45.97
12M Price Target	\$68.00
Upside / (Downside)	+47.9%
Market Cap	\$8.25B
FY2026E Revenue	\$1,250M
FY2027E Revenue	\$1,610M
FY2026E EPS	(\$1.45)
FY2027E EPS	(\$0.85)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$56.00	\$48.00	\$40.00
6 Months	\$75.00	\$60.00	\$38.00
1 Year	\$95.00	\$68.00	\$32.00
2 Years	\$130.00	\$85.00	\$28.00
5 Years	\$220.00	\$130.00	\$22.00
10 Years	\$420.00	\$210.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Healthcare (+2.55% 5D), Consumer Staples (+2.16% 1D)

COLD SECTORS: Industrials (-1.35% 1D), Utilities (-0.23% 5D)

ROTATION WATCH: Defensive rotation into Staples/Real Estate/Healthcare suggests risk-off positioning; within Healthcare, capital is favoring profitable large-caps over unprofitable growth — a near-term headwind for TEM but a setup for mean-reversion once risk appetite returns.

BYPRODUCT PLAY: AI-enabled diagnostics and clinico-genomic data licensing are emerging as the durable monetization layer; secondary beneficiaries include pharma services (ICLR, IQV) and other multi-modal data platforms (RXRX, SDGR).

OUTPERFORMERS & PEER CONTEXT

- NTRA (Natera): Sustaining 30%+ revenue growth with positive adjusted gross margin trajectory and reimbursement wins, commanding premium 9–10x EV/Sales.
- VEEV (Veeva Systems): Profitable life-sciences SaaS compounder; benchmark for what TEM's Data & Services segment could be valued at if scale economics materialize.

TEM CONTEXT: TEM is materially lagging peers — down ~56% from 52-week high vs. healthcare sector strength — reflecting concerns over profitability path and insider selling rather than top-line execution. The relative weakness now overshoots fundamentals, but a catalyst (clean print + guide raise) is required to close the gap.

INVESTMENT STRATEGY

6/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$43-47 staggered; add below \$42 (52-wk low support)

Time Horizon: 12-24 months

Thesis Invalidation: Revenue growth deceleration <30% YoY or loss of major health-system contract

Hedging: Long-dated OTM puts or pair short vs. richer-multiple genomics peer (e.g., NTRA)